

Table 1: Global asset allocation highlights

KEY ASSET CLASS CALLS		
Asset class	Stance	Rationale
DM equities	OW	Positive structural forces are intact. DM equities will benefit from solid US GDP growth, productivity growth, and falling energy costs. We expect returns to broaden by year-end as the manufacturing and infrastructure recovery continues.
EM equities	OW	The manufacturing cycle upturn will see EM earnings broaden beyond Asia tech. Rate hike risk has also receded. But semiconductor megacap concentration remains a key vulnerability.
DM bonds	UW	US 10yr yields increased on a higher inflation risk profile and with a likely non-recession outcome. The Fed will use higher energy prices to justify a continued pause given the worsening inflation/growth trade-off.
Global IG corp. credit	N	Balance sheets are in good shape, but we think duration remains vulnerable.
Global HY corp. credit	N	The balance sheet health of the median HY corporate is solid, but spreads have little room for further compression. Our risk-on view is better expressed through equities at this point in the cycle.
EM bonds (local ccy)	N	EM rate hike risk has come off the table, but there remains risk of upside inflation surprises as all the inflation passthrough hasn't yet materialised in full. We expect this risk to diminish over time.
EM bonds (hard ccy)	UW	The original rationale for the neutral position (insulation from idiosyncratic monetary policy risk) has faded, and spreads are now too tight to offer compelling value relative to other risk assets.
DM real estate (REITs)	OW	Limited development supply and stable income yields will support healthy income growth. Valuations are also attractive on a cross-asset basis.
Alternatives	-	We expect the stock-bond correlation to stay positive in H2 2026. Alternatives will be attractive diversifiers, but we remain underweight private credit.

Source: Oxford Economics

Table 2: Cross-asset risk factor grid

RISK FACTOR	SUBJECTIVE ODDS OVER NEXT 6M-12M	RATIONALE AND ASSET PRICE IMPLICATIONS
Inflation persists for longer than markets expect	20%	Macro: Inflation surprises to the upside, as the full impact of the energy-cost-driven inflation hit hasn't been fully realised. Inflation stays sticky to year-end. Asset-price implications: Global risk assets underperform, with the greatest impact on European and EM Asia risk assets. DM duration suffers from the inflation shock, but this unwinds as demand destruction occurs.
Global (non-US) growth picks up	10%	Macro: Fiscal stimulus in the Eurozone and China improves growth outcomes. Asset-price implications: A pickup in non-US growth leads to the outperformance of non-US global risk assets.
AI-spending bust	15%	Macro: The AI-spending boom turns to bust as the economy-wide impact is more modest than expected. The tech-driven rally stalls. Asset-price implications: DM and EM equities sell off. Broader risk assets also suffer. In this scenario, government bonds are our preferred asset.
AI investment reaps dividends earlier than expected	15%	Macro: Rewards of AI investment come to fruition, benefiting corporate margins and productivity. Global growth strengthens, driven by the US. Asset price implications: Risk assets rally, with US equities and EM Asian equities outperforming. DM duration benefits from productivity-driven boom which keeps inflation low.

Source: Oxford Economics

Global macro and asset outlook

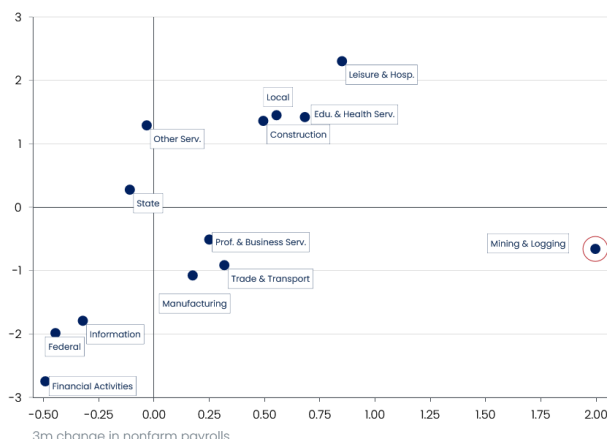
On guard for lingering inflation, but look for an oil supply overshoot in Q4

The US-Iran agreement removes the tail risk of dwindling crude inventories, prompting an oil price spike. We stayed risk on throughout the conflict as our [cross-asset frameworks](#) stayed positive and now see this development as a reason to increase risk exposure.

The US has proved resilient to this oil shock, with little impact on aggregate employment. Reflecting this, improvements in mining and logging have more than offset the fall in financial services, federal government, and information services ([Chart 2](#)).

Chart 2: The role of the US as oil exporter means job gains in oil industry typically offset other job losses

US: Nonfarm payrolls employment sector breakdown
Deviation from 3 year average

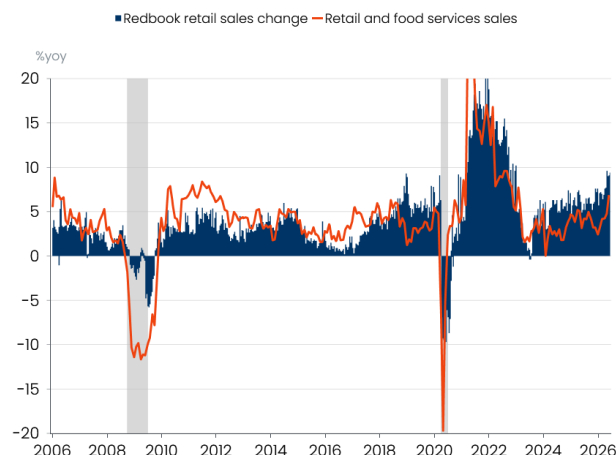


Sources: Oxford Economics, Macrobond

With the labour market stable, consumer spending has remained high and has even accelerated in recent months. The [May headline retail sales](#) print came in at 0.9%, bringing real consumer spending growth to 2% annualised in Q2, above our estimate of 1.3% and above the 1.4% pace in Q1 ([Chart 3](#)).

Chart 3: Retail sales consistent with resilient US consumer spending

Retail sales: Official versus Redbook

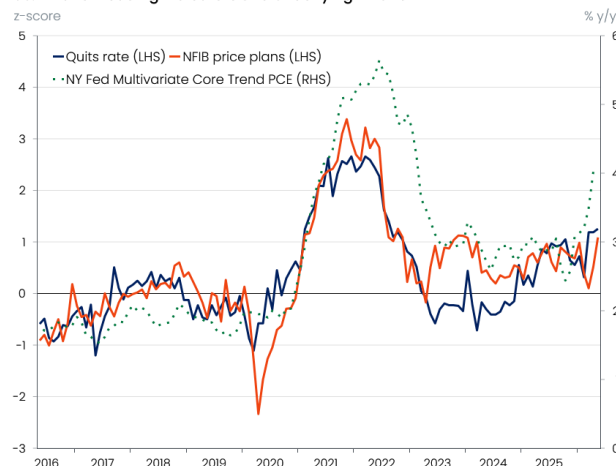


Sources: Oxford Economics, Macrobond

However, we believe some price pressures will linger. Inflation from the Middle East conflict is still working its way through the system, as firms pass through energy-driven production and transportation costs ([Chart 4](#)).

Chart 4: Leading indicators suggest there is more inflation passthrough to come

US: Inflation leading indicators and underlying inflation



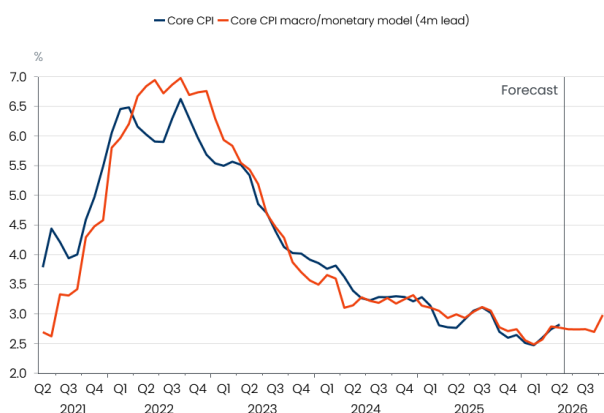
Sources: Oxford Economics, Macrobond

Reflecting this, our US core CPI inflation model shows some stickiness in prices over the next quarter ([Chart 5](#)).

Chart 5: Our inflation model suggests prices will stay sticky next quarter

US: Core inflation model

Regressed on NFIB price plans, M4 (velocity adj.), 10y UST, Zillow observed rent index, PPI, real wages, USD, quits rate



Sources: Oxford Economics, Macrobond, Bloomberg

Reflecting this, FOMC members now see the balance of risks as more clearly skewed towards higher inflation. As a result, the risk is that the Fed remains on hold for longer, particularly as it focuses on the inflation side of its mandate.

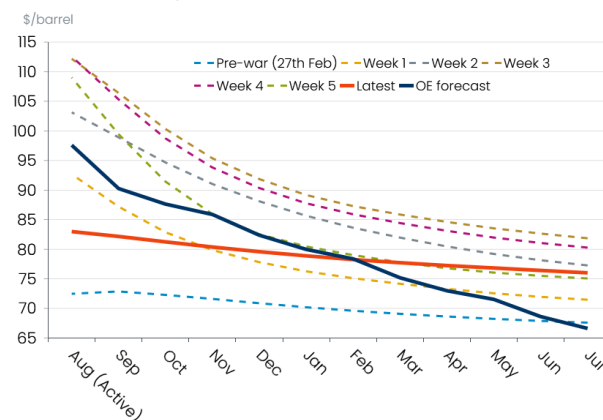
However, we don't think this will stymie the equity rally, as we expect corporate margins to keep expanding.

Indeed, we believe an oil supply overshoot by year-end is a meaningful risk. A 1-to-3-month adjustment period is likely as shipping companies seek new insurance policies, and the Strait of Hormuz is de-mined. But beyond this point, shipments will ramp up, Gulf producers will raise production, and new production from non-Gulf OPEC+ and non-OPEC+ will continue to increase. As our Alpine Macro colleagues have [noted](#), OPEC's core Gulf producers, including Saudi Arabia, Iraq, and Kuwait, retain over 3.5mn barrels per day of spare capacity. As such, we expect prices to undershoot market expectations, testing \$75 per barrel in Q1 ([Chart 6](#)).

This means more cash in consumers' wallets, lower production costs for firms, a direct boost to corporate profits, softer inflation expectations, and ultimately higher GDP – a boon for risk assets.

Chart 6: We believe an oil supply overshoot is likely, with the Brent price to miss market expectations

Brent crude oil futures curve: Close price after each week pre-ceasefire vs latest OE forecast is the corresponding end-of-quarter forecast (e.g., Sep contract = end of Q3), smoothed for consistency



Sources: Oxford Economics, Macrobond

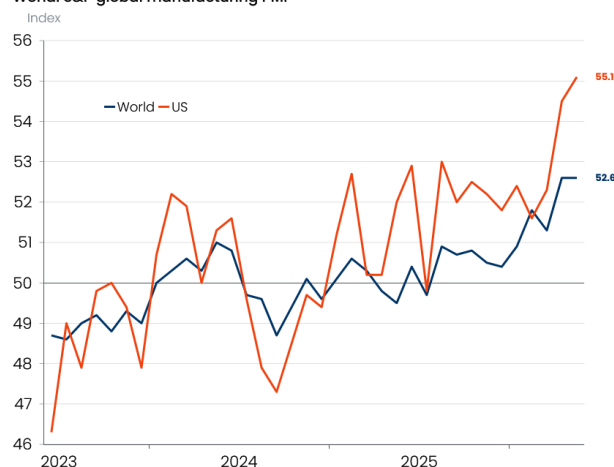
The economic recovery is broadening

We expect US investment to broaden beyond tech through the remainder of 2026. This will be largely driven by tax and investment incentives in the One Big Beautiful Bill, as full upfront expensing of equipment investment incentivises firms to bring forward capex.

Recent data corroborates this: the S&P US manufacturing PMI rose to 55 in May ([Chart 7](#)).

Chart 7: The US and global manufacturing PMIs are firmly in expansionary territory

World: S&P global manufacturing PMI



Source: Oxford Economics, Macrobond

We expect smaller and more cyclical firms to benefit from this broadening economic recovery,

particularly as the economy strengthens from here, energy prices fall, and unit labour costs remain well-contained.

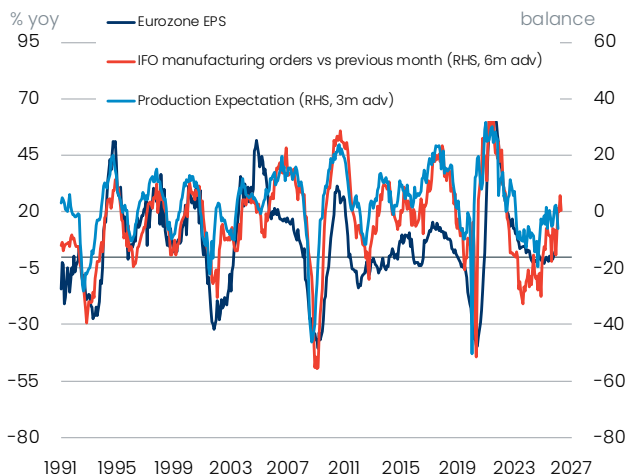
Eurozone outlook improving, but not yet a conviction buy

One of the major headwinds for the Eurozone has fallen away with the conclusion of the Middle East conflict – namely, high LNG prices.

In fact, our Alpine Macro colleagues argue that we may see a substantially [looser structural LNG balance](#). Even after accounting for damage to Qatar's facilities, the broader supply outlook looks constructive owing to LNG capacity additions outside the Middle East. In other words, we believe markets are underestimating the downside overshoot risk into the 2026/27 winter, which would be positive for the Eurozone recovery. This should prove a tailwind for the burgeoning manufacturing recovery in the region ([Chart 8](#)).

Chart 8: Beginnings of a manufacturing recovery in the Eurozone

German manufacturing orders vs Eurozone EPS growth



Sources: Oxford Economics, LSEG Datastream

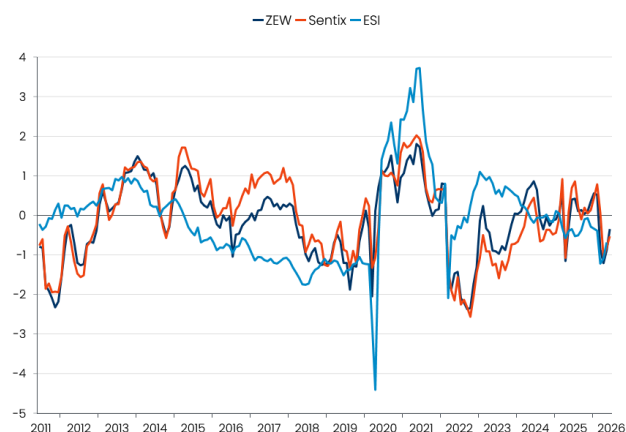
Indeed, the bulk of the economic fallout from the Iran conflict should be concentrated in Q2. Most of our tracked surveys are showing signs of bottoming out. The ZEW rebounded in June, with economic expectations rising to 9.5, up from -0.1 in May ([Chart 9](#)). This was before the announcement of the deal to reopen the Strait of Hormuz. As such, we expect both expectations and improvements in economic conditions to accelerate next month. Moreover, risks

have shifted, so the ECB may be disinclined to tighten policy any further. That said, we think investors need to be selective in terms of sectors when investing in the Eurozone, as several major headwinds still persist, including competition from China.

Chart 9: We believe poor economic expectations are now bottoming out for the Eurozone

Eurozone: Key surveys

Balance/diffusion index, normalised



Sources: Oxford Economics, Macrobond

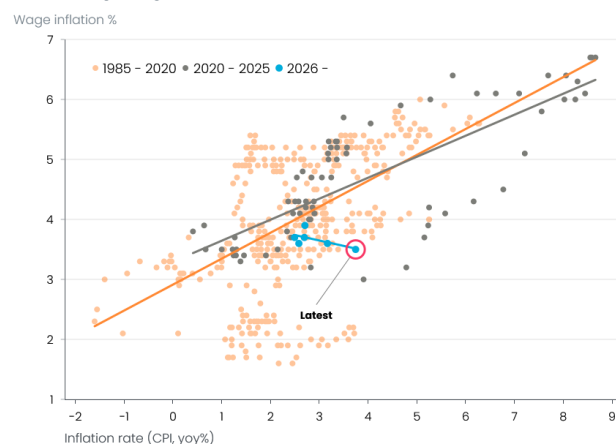
Cross-asset views and portfolio positioning

DM equities. Falling energy prices and limited wage-price inflation will support corporate margins. This is the case even if inflation stays sticky, as the cyclical upturn in productivity keeps wage increases in check ([Chart 10](#)).

Chart 10: The breakdown of the CPI-wage inflation relationship supports company margins

US: Wage inflation and CPI inflation rate

3mth moving average

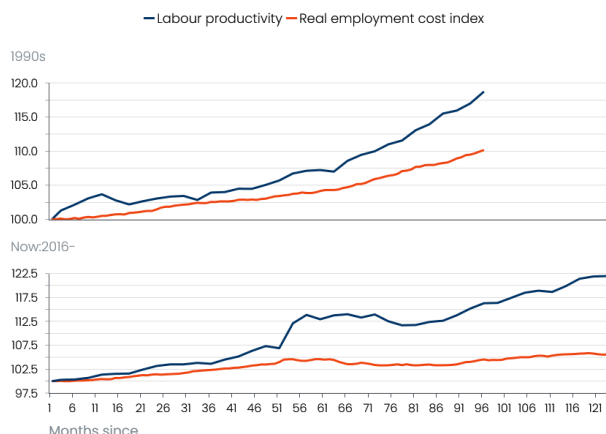


Sources: Oxford Economics, Macrobond

Companies are also not passing on these lower unit labour costs to final consumers. Real income has stagnated, as real profits rise ([Chart 11](#)).

Chart 11: The rewards of higher productivity are accruing to corporate profits

US: Labour productivity versus real employment cost index (1990s versus 2016 to today)

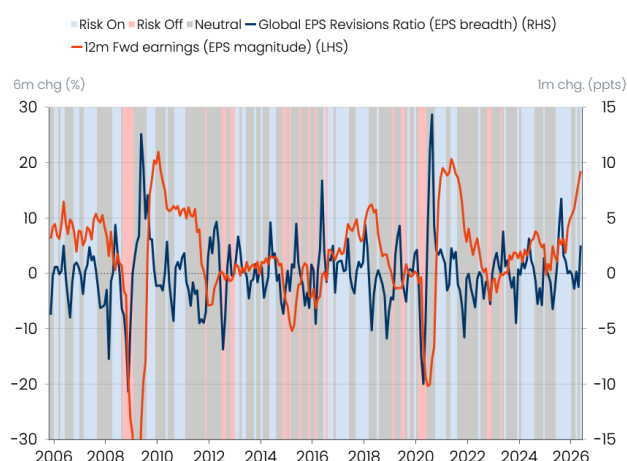


Sources: Oxford Economics, Alpine Macro, Macrobond

Moreover, green shoots are emerging outside IT. Our [EPS momentum signal](#) shows that EPS momentum is broadening, with the EPS revisions ratio rising m/m ([Chart 12](#)). We expect this to continue, as cyclical sectors such as materials and industrials benefit from the manufacturing recovery through to year-end.

Chart 12: EPS momentum is broadening

Global: ACWI EPS Momentum



Sources: Oxford Economics, LSEG Datastream

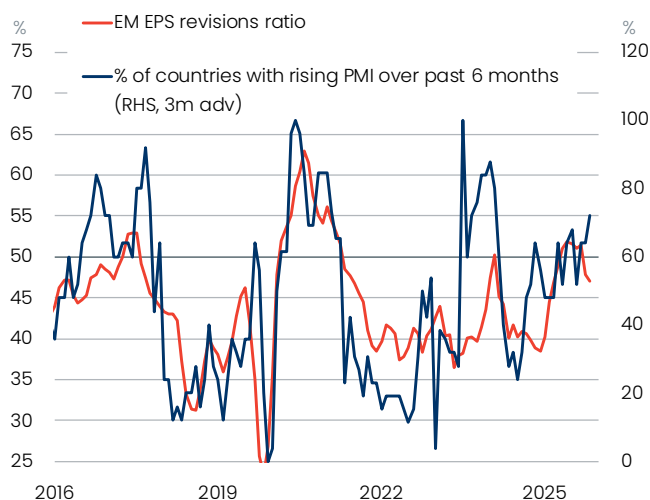
EM equities back to overweight. We [said last month](#) we'd return to an overweight in EM equities if the

macro backdrop improved for the EM MSCI index ex South Korea and Taiwan. This is now the case.

The manufacturing cycle upturn will likely benefit the EM complex outside Asia tech, and we believe this will drive an increase in the overall EM EPS revisions ratio over the next quarter ([Chart 13](#)). We're also likely to see some hikes taken off the table for several major EMs, which were previously a key headwind for the manufacturing recovery.

Chart 13: The broadening manufacturing recovery implies an upturn in EM EPS revisions

PMI diffusion index vs EM EPS revisions



Sources: Oxford Economics, LSEG Datastream

However, we remain concerned about the fragility of EM Asia tech returns. The path to an earnings beat for the three EM semiconductor megacaps remains narrow.

That said, we expect EM equity returns to broaden, which should reduce some of the concentration risk.

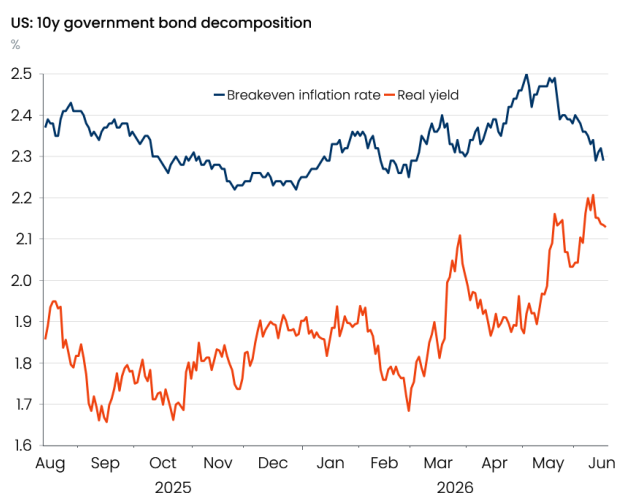
HY credit to neutral. Spreads have tightened back to pre-Middle East conflict lows, leaving little room for further compression. With our risk-on view better expressed through equities at this point in the cycle, where the upside is uncapped, we trim the HY overweight to neutral.

Keep the underweight on DM duration. Real rates have risen across the curve owing to positive economic sentiment, including payrolls, and market optimism ([Chart 14](#)). This in turn feeds into

expectations of the Fed reaction function, with markets pricing in tighter policy for longer.

We think the new level of real rates is sustainable – we're in the midst of a cyclical upturn in productivity and GDP growth should materially pick up in 2027 to 2.6%, from 2.2% in 2026. Thus, even if disinflation takes hold faster than we expect, as real yields are now higher, nominal rates should also stay higher.

Chart 14: It is not just breakevens – US real yields have risen as well

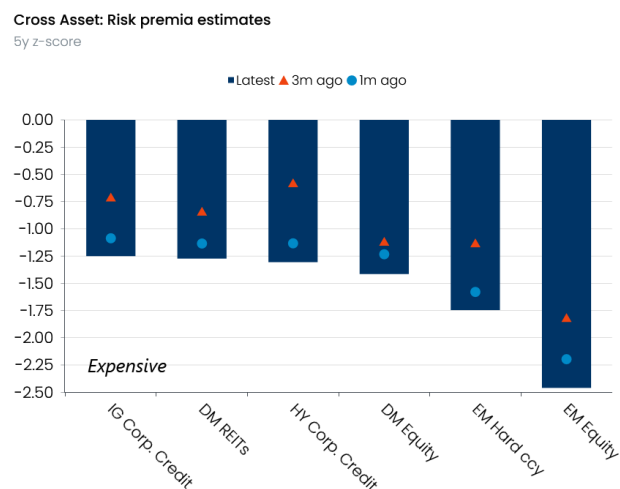


Sources: Oxford Economics, Bloomberg

EM local-currency bonds to neutral; EM hard-currency bonds to small underweight. We believe this Middle East agreement will take rate hikes off the table for most key EMs. However, we still see some risk of inflation surprising to the upside, as the peak of the energy-cost-driven inflation hasn't yet been realised.

On the other hand, we went neutral EM hard-currency bonds as they were less exposed to idiosyncratic monetary policy moves. We believe this risk has decreased. Moreover, hard-currency bonds are expensive on a cross-asset basis, second only to EM equity. However, unlike EM equity, where the AI buildout provides a fundamentals earnings driver, we see no comparable catalyst to justify a further rally in EM hard currency bonds ([Chart 15](#)).

Chart 15: EM hard-currency bonds are expensive relative to other risk assets in our universe



Sources: Oxford Economics, Macrobond, LSEG Datastream

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